

On March 27, 2000, Cisco Systems, Inc., became the world's most valuable corporation as its stock hit \$548 billion in total value. Cisco, which makes equipment that directs data over the Internet, first sold its shares to the public only 10 years earlier. Had you bought Cisco's stock in the initial offering and kept it, you would have earned a gain resembling a typographical error made by a madman: 103,697%, or a 217% average annual return. Over its previous four fiscal quarters, Cisco had generated \$14.9 billion in revenues and \$2.5 billion in earnings. The stock was trading at 219 times Cisco's net income, one of the highest price/earnings ratios ever accorded to a large company.

Then there was Sysco Corp., which supplies food to institutional kitchens and had been publicly traded for 30 years. Over its last four quarters, Sysco served up \$17.7 billion in revenues—almost 20% more than Cisco—but “only” \$457 million in net income. With a market value of \$11.7 billion, Sysco's shares traded at 26 times earnings, well below the market's average P/E ratio of 31.

A word-association game with a typical investor might have gone like this.

Q: What are the first things that pop into your head when I say Cisco Systems?

A: The Internet...the industry of the future...great stock...hot stock... Can I please buy some before it goes up even more?

Q: And what about Sysco Corp.?

A: Delivery trucks...succotash...Sloppy Joes...shepherd's pie...school lunches...*hospital food*...no thanks, I'm not hungry anymore.

It's well established that people often assign a mental value to stocks based largely on the emotional imagery that companies evoke.<sup>1</sup> But the intelligent investor always digs deeper. Here's what a skeptical look at Cisco and Sysco's financial statements would have turned up:

- Much of Cisco's growth in revenues and earnings came from acquisitions. Since September alone, Cisco had ponied up \$10.2 billion to buy 11 other firms. How could so many companies be mashed together so quickly?<sup>2</sup> Also, roughly a third of Cisco's earnings over the previous six months came not from its businesses, but from tax breaks on stock options exercised by its executives and employees. And Cisco had gained \$5.8 billion selling “investments,” then bought \$6 billion